THE AI TRADE IS CRACKING

A buying opportunity — or a capital-efficiency warning?

Big Tech is spending at unprecedented speed, but not every stock is being punished. Our analysis of Microsoft, Alphabet, Meta and Amazon suggests that investors are becoming more selective about what AI growth is worth.

A market that is dividing, not collapsing

Between 1 October and 9 November 2026, Microsoft and Amazon gained more than 6%, while Alphabet and Meta lost more than 11%. The Nasdaq-100 ETF proxy, QQQ, fell 8.45%. The divergence matters: this is not a uniform rejection of AI exposure.

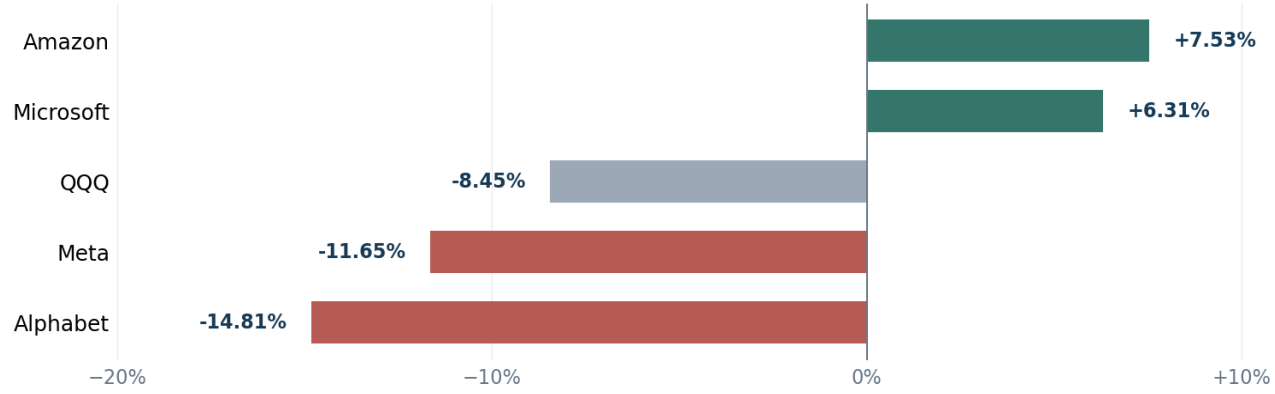


Figure 1 | Price return, 1 Oct–9 Nov 2026. Source: author calculations using Yahoo Finance.

Capital spending is outrunning near-term growth

In the September quarter, capital expenditure grew 80%–120% year on year across the four companies, considerably faster than revenue. This is a buildout of long-lived infrastructure; immediate earnings growth cannot, by itself, measure the return on those investments.

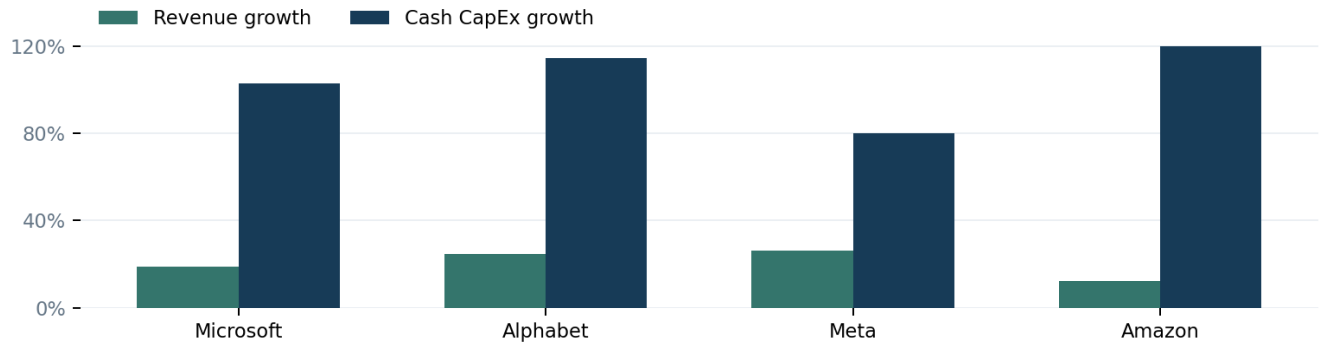


Figure 2 | Year-on-year change, Q3 2026 vs Q3 2025. Company financial statements; cash CapEx definitions may differ.

Strong earnings, weaker cash conversion

Operating profitability remains robust. Yet trailing free cash flow was approximately $60.0bn at Microsoft, $19.8bn at Alphabet, $28.7bn at Meta and negative $37.6bn at Amazon. Amazon spent more on capital assets than it generated in operating cash flow. Negative cash flow during an investment cycle is not automatically a sign of failure, but it raises the return hurdle for future years.

Returns remain above the cost of capital

We estimated company-wide return on invested capital (ROIC) against a modelled weighted average cost of capital (WACC). All four show a positive spread, though Amazon's is far narrower. These are returns from the whole business, not a direct measurement of new AI data-centre returns.

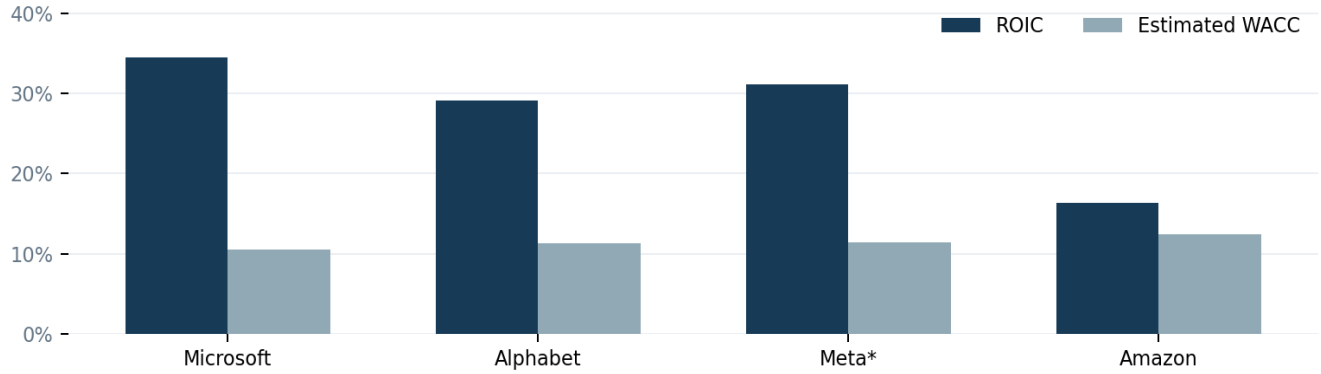


Figure 3 | Simplified TTM ROIC vs estimated WACC. *Meta adjusted for a $9.89bn legal charge. WACC assumptions and non-operating-asset treatment affect comparisons.

What the sell-off does — and does not — prove

The market response was selective. Alphabet and Meta fell sharply after earnings, while Microsoft and Amazon held up better relative to QQQ. Alphabet and Meta also showed only minor downward revisions to available forward EPS estimates. That is consistent with valuation reassessment, but it does not quantify multiple compression: our EPS-revision and price-return windows do not precisely match.

THE VERDICT

This looks more like a test of AI investment economics than an earnings collapse. Demand and profitability are still substantial, but investment is growing faster than near-term cash generation. A buying opportunity would require evidence that future incremental returns justify both the new capital committed and the valuations investors pay today. Our data does not yet establish that for any specific stock.

Method: Author calculations from Yahoo Finance and SEC financial statements, observed through 9 November 2026. ROIC uses a simplified equity-plus-debt-minus-cash-and-investments measure and a 21% normalised tax assumption; WACC relies on model assumptions. Reported company financials contain non-operating and one-off items. Not investment advice.